



TE Connectivity plc TEL

GoTrade Equity Research — Investment Committee Note

Margin plus multiple, not catalysts: in-window catalyst revenue is 1.76% of base — below the materiality gate — so the value carriers are the adjusted operating margin near 22.2% and the 16.4x forward multiple. The FY2027 revenue consensus retrieved this session (\$21,658M, 15 analysts) makes the horizon check independent for the first time, and the build confirms it at -0.15%.

ENTRANT Weak Buy T48 positive-carry floor, confirmatory path — edge +2.6% primary and +3.7% fallback, positive on both routes; inside the T28 none bucket, paid on drift		HOLDER Hold undiscounted basis — return +13.3%; the model expects an absolute gain	
SPOT \$205.03 close prior day	WEIGHTED PV \$210.40 not a target price	UNDISCOUNTED \$232.37 holder basis	BEAR-BULL SPREAD \$52.88 25.1% of PV

FY27 ADJ EPS (BUILD)	FORWARD P/E	MOAT (PACK-ONLY)	WEIGHTS BEAR/BASE/BULL
12.66	16.4x	3.33/5.00	15/50/35

What carries value	adjusted operating margin plus the exit multiple; in-window catalyst revenue is 1.8% of base NTM (materiality spirit fired)
What the model finds	no variant view — confirmatory model
Why it moved vs the prior bank	the v4.3 bank's -5.9% edge came from the roll-less exit construction T47 now invalidates; recomputed with the roll, the same thesis lands a small positive edge and the holder rating is unchanged at Hold
What ends it	the true-driver switch: adjusted operating margin <21.0% in any FY2027 quarter

RUN INTEGRITY run_status full; the revenue comparator is now independent; the EPS comparator remains anchor-derived, corroborated risk_budget 0.50% of NAV stored user-stated; position cap not computed in reduced form	
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I

No variant

Priced, consensus and build sit on one line — and this time the revenue line is independent.

Priced X	\$12.50 adjusted EPS, anchor-derived
Consensus Y	\$21,658M revenue independent; EPS \$12.50 corroborated proxy
Build Z	\$12.66 adjusted EPS; revenue \$21,627M
Z – X	+1.3% — in line under T11
FY27 revenue, build vs consensus	-0.15%
Engine's declaration	no variant view — confirmatory model
Observing event	FY2027 Q1 print, estimated late January 2027 M

COMPARATOR QUALITY

fy2027_revenue_consensus

\$21,658M, 15 analysts D-web — independent of price

fy2027_eps_comparator

\$12.50 anchor-derived (spot / 16.4x published forward P/E); cross-check: consensus earnings \$3,646M / ~291.7M shares = \$12.50 — coherent, but the share count is inferred, so the EPS comparator is corroborated rather than independent

revision_vector

FY2027 EPS revision series missing; ratings 11 strong buy / 1 buy / 7 hold, average target \$246.79 D-web (single mark, no dated series) — low quality

NOT A CATALYST THESIS

in-window materiality 1.76% — SPIRIT FIRED; not a catalyst thesis; value carriers are adjusted operating margin and the exit multiple

T12 FIRED — CONSENSUS TRACKS THE GUIDE

FIRED — consensus sits within 1% of the guide arithmetic and carries no independent view

The build lands +1.3% — in line under T11 against the priced anchor and -0.15% against the independent FY2027 revenue consensus — a model that confirms the market. What the price still asserts is duration: inverting the forward multiple on the industrials hurdle surface implies 15.4% perpetual growth against the 12.0% two-year consensus CAGR, a -3.4pp gap that is a perpetuity statement conditional on the hurdle table, not a one-year mispricing.

The weakest sentence in this section is the EPS comparator: revenue is independent at fifteen analysts, but the EPS anchor is still spot divided by the published multiple, corroborated rather than independent. A second dated consensus mark is what would finish the repair.

conditionality_label

implied-growth figures are conditional on the industrials hurdle table; not independent discount-rate evidence

horizon_label

implied growth is a perpetuity statement; the \$12.66 build is a fiscal-year statement — not interchangeable

dual_basis_sign_flip

none

II

The build

A guide-anchored bridge quarter, then four modeled quarters of Industrial-led growth.

The claim: FY2027 adjusted EPS of 12.66 on revenue of 21,626.5. The evidence: the bridge quarter is not modeled but guided — \$5,250M of sales and 3.05 of adjusted EPS imply a 21.9% margin, and the FY2027 path adds at most forty basis points to it, consistent with the disclosed margin trend. Catalysts enter probability-weighted and contribute 0.30% of first-quarter revenue — no undelivered acquisition revenue is pulled forward.

The falsifier is the bridge itself: a fourth-quarter revenue or adjusted-EPS print beyond the anchor tolerance fires kill switch one and suspends the thesis pending a full rebuild.

q1_anchor_result

PASS

q1_anchor_projected_eps

\$2.97, +1.1% vs Q3 actual \$2.94, +9.3% YoY vs Q1 FY26 adjusted \$2.72 D vs Q3 actual and prior-year Q1

eps_vs_fcf

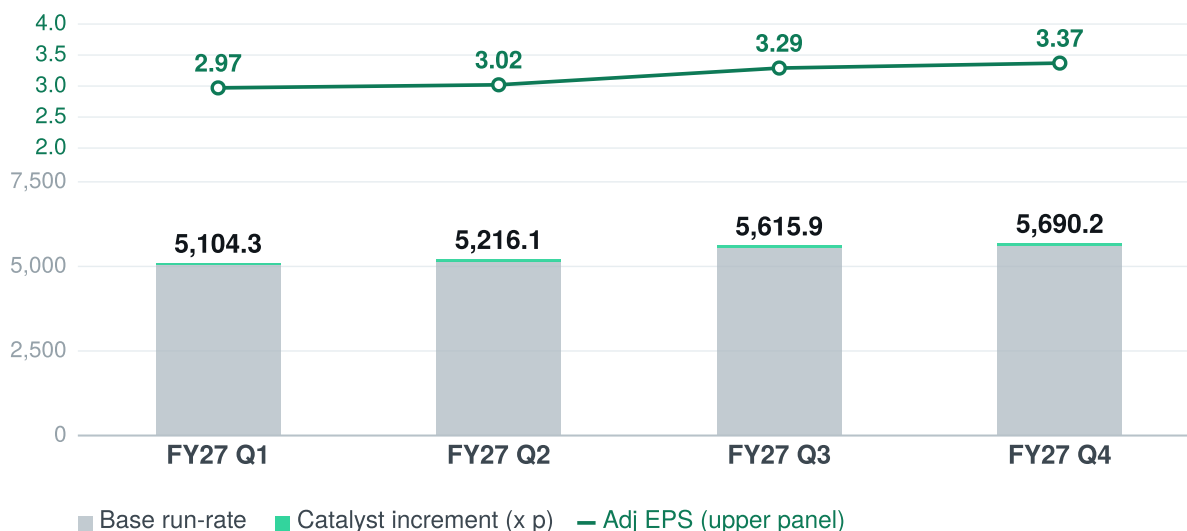
FCF \$3,460M is \$178M (4.9%) below adjusted NI; capex intensity is the driver

owner_earnings

\$3,287M = FCF - SBC; \$11.47/share

EXHIBIT 1 THE FY2027 BUILD — BASE PLUS PROBABILITY-WEIGHTED CATALYST INCREMENT, EPS ABOVE

Bars: quarterly revenue, \$M. Line: adjusted diluted EPS per quarter.



Source: bank S4, engine v4.8-prose. The Q4 FY26 bridge quarter is guide-anchored and sits outside this window.

THE ROLL — WHERE THE CASH GOES

Net share effect	-8.97M over five quarters including bridge, -3.1%
Buyback vs authorization	\$2.25B, \$0.75B headroom remains — PASS, no assumed re-authorization
Repurchase price check	spot -8.9% vs trailing repurchase price; T10 not fired
Opening net debt	\$4,580M from the market-data EV bridge; the 10-Q debt-less-cash figure is \$4,393M and does not tie by \$187M — the gap is lease/valuation standardization at the aggregator, stated not averaged
Convert consistency	PASS; all debt in net debt, no convert shares in any denominator

III

What the price already requires

Three inversions of the base arm, each with what was held fixed.

Breakeven exit multiple	16.2x — -1.2% vs 16.4x
Breakeven FY27 EPS	\$12.50 — -1.2% vs \$12.66; the breakeven EPS equals the priced anchor by construction — spot sits where the base arm's roll and the year's discount almost exactly offset
Breakeven revenue growth	10.6% NTM revenue growth (-1.3pp shift on every quarter) against 11.9% modeled
Held fixed	22.0–22.3% margin path, rolled shares, \$95M interest, 22.5% tax, \$0.45 post-window add, 10.2% g_roll, 10.44% DR

T38 FIRED ON THE MULTIPLE AND THE EPS BREAKEVENS

FIRED — well inside the $\pm 10\%$ shock

FIRED — inside the margin dial's $\pm 10\%$ EPS effect; the margin dial ranks 1 in the tornado, so the PV edge is not separable from model error on that input

What this means: spot sits almost exactly on the base arm net of the roll and the year's discount — the breakeven EPS equals the priced anchor by construction. The small positive edge is inside the model's own noise on the margin dial, so the entry case rests on the T48 positive-carry floor rather than on a separable mispricing; only the growth breakeven clears its gate, and the price does not require growth the build considers unlikely.

IV

Valuation anchors and the exit

One matched route, three excluded ones, and a bracket set by a partial moat.

ROUTE A — METHOD VALUES AT MATCHED HORIZON

METHOD	MULTIPLE	HORIZON	NTM METRIC	EQUITY/SHARE
Adjusted P/E (primary)	16.4x	matched forward	\$12.66 EPS	\$207.63
EV/adj EBITDA	12.9x	horizon-unmatched — trailing excluded	\$5,654M	growth bridge +12.1%
EV/Sales	3.3x	trailing horizon-unmatched — excluded	\$21,627M	growth bridge +11.9%
EV/FCF	19.3x	trailing horizon-unmatched — excluded	\$3,460M	growth bridge +4.2%

ev_equity_bridge

\$63,940M EV - \$4,580M net debt = \$59,360M equity; / 289.51M = \$205.04 vs \$205.03 spot

tree_path

profitable, leverage not distorted, capex Low, D&A not distorted — adjusted forward P/E primary

ttm_fcf_yield

5.6%; SBC-adjusted 5.5%

CROSS-CHECK UNAVAILABLE AT MATCHED HORIZON

unavailable at matched horizon — only the P/E route carries a published forward multiple; the prior run's band pass rested on trailing multiples against the NTM build, which v4.7's horizon-admissibility rule excludes

PEER READ (M6, RETRIEVED THIS SESSION)

APH	27.5x forward
LFUS	21.9x forward
ST / APTV	10.9x / 7.6x — tax-distorted, unscored caveat
Read	in line — the retrieved peer median is 13.7x–16.4x depending on tax treatment of the distorted pair; TEL sits at the median of the four-name set

EXIT STANCE — MOAT X REGIME

Moat score	3.33/5.00 across six relevant drivers; network/ecosystem N/A excluded
Financial gate	PARTIAL — adjusted margin trend and FCF support the read; peer margins, ROIC, share and retention unavailable
Direction / confidence	Widening, Low confidence
Bracket	15.4x (current less one turn) to 17.4x (current plus one turn)
Regime	unavailable — bracket top regime-unvalidated; base holds 16.4x and credits no re-rating
Stance	hold to mild compression

exit_stance_rule

PARTIAL gate binds to row 2 before the 3.33 score

weakest_driver

brand/trust proof at 2.5

The weakest driver is brand and trust at 2.5 of five: qualification matters in transportation and industrial applications, but no price premium or retention figure proves it. That undisclosed layer holds the gate at PARTIAL, binds the stance to the mild-compression row despite a widening direction, and leaves the bracket top unvalidated by any sector series — so the base arm credits no re-rating.

V

The catalyst ledger — sized but immaterial

Demoted by the engine's own gate: the catalysts are the clock, not the value.

TWO CATALYSTS, ANCHORED AND SIZED

CATALYST	DRIVER MATH	IN-WINDOW	KEY RISK
Astrodyne TDI	>\$250M annual sales D x 75% FY27 in-window M = \$187.5M; \$1.4B price D	\$187.5M	regulatory close and integration
AI/data-and-power order conversion	Q3 orders \$5.70B D less Q3 sales \$5.16B D = \$540M excess pool; 20–50% AI corridor A, T43 midpoint 35% = \$189.0M M	\$189.0M	order timing, cancellation, base overlap

ai_evidence_note

call disclosures strengthen the pool anchor — \$3B AI target originally set for FY2027 now expected earlier D-call; DDN orders +70% YTD D-call; power is ~one-third of AI revenue D-call

double_count_company_check

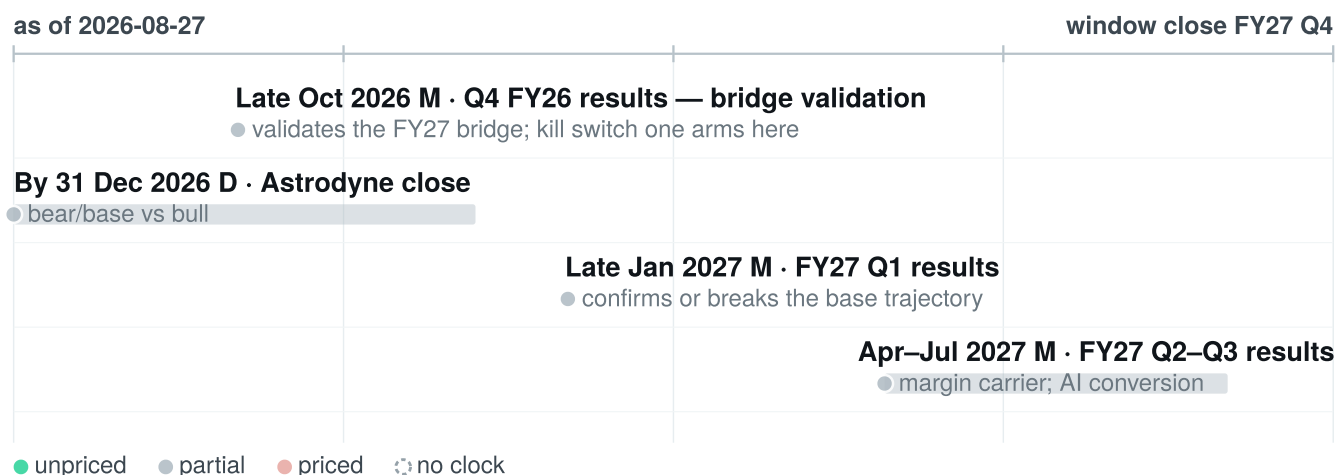
base growth 10.8% M + 2.1pp full catalysts = 12.9% total, inside the disclosed 11–14% trajectory (Q4 guide +11% D, Q3 reported +14% D) — PASS

terminal_load_blended_in_window

85.8% = 376.5/439.0 — clear vs T5 50%

PROBABILITIES AND CORRELATION

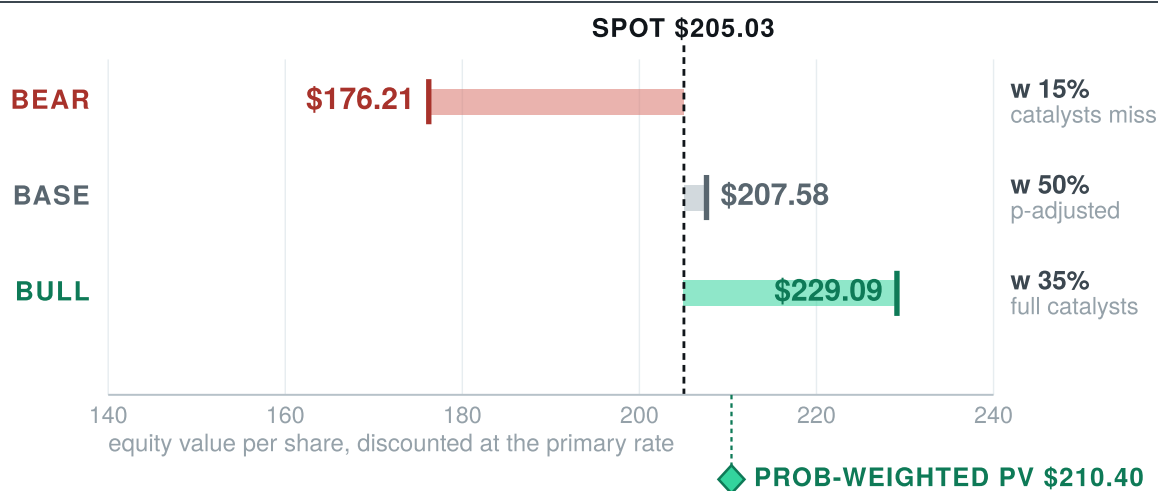
Astrodyne hit probability	80%, partial — expected in-window \$150.0M
AI conversion hit probability	40%, partial — expected in-window \$75.6M
Shared driver	Industrial power demand and execution
Raw weights	bull 32% = 0.80 x 0.40; bear 12% = 0.20 x 0.60; base 56%
Final weights	Bear 15% / Base 50% / Bull 35%, rounded to 5%

EXHIBIT 2 THE CLOCK — DATED WINDOWS ACROSS THE FY2027 HORIZON

Source: bank S13a. Dates beyond the Astrodyne deadline are fiscal-calendar estimates, tagged M.

VI**The distribution**

Three arms, correlation-shifted weights, and both lenses on the result.

EXHIBIT 3 SCENARIO ARMS AGAINST SPOT, PROBABILITY-WEIGHTED

Source: bank S9/S10. The weighted PV is a probability-weighted expectation under stated assumptions, not a target price.

WHAT THE EXHIBIT DOES NOT SHOW — PER-ARM CONSTRUCTION

ARM	FY27 EPS	G_ROLL	ROUTE A @16.4X	EXIT	ROUTE B	POST-WINDOW
Bear	\$11.90	6.2%	\$207.25	15.4x	\$194.61	\$0.00
Base	\$12.66	10.2%	\$228.80	16.4x	\$229.25	\$0.45
Bull	\$13.05	11.2%	\$237.91	17.4x	\$253.01	\$0.60

bear_resource

materiality fired — bear re-sourced from base growth, margin and multiple compression as stated deviations, not catalyst failure alone

correlation_declaration

+5pp to each tail; shared Industrial power-demand/execution exposure

g_roll_source

FY2 consensus slice M — FY27-to-FY28 consensus earnings growth 10.2% (4,017/3,646); bear stressed to 6.2%, bull 11.2%

WEIGHTS VERSUS VALUES

weights are catalyst-derived, scenario values are margin/multiple-derived; the probability structure carries less economic risk than it appears to

Weighted PV / edge	\$210.40 — +\$5.37 / +2.6%
Undiscounted / return	\$232.37 — +13.3%
Identity check	232.37 / 1.1044 = 210.40, exact
Discount rate	10.44% = 4.64% RFR D-web + 1.16 beta D-web x 5.0% ERP A
Route divergence	FIREd — 1.14pp > 0.5pp; primary used, both PVs stated; alternate PV \$212.60 at 9.30% fallback; edge +3.7%; route delta \$2.19

VII

What the answer hinges on

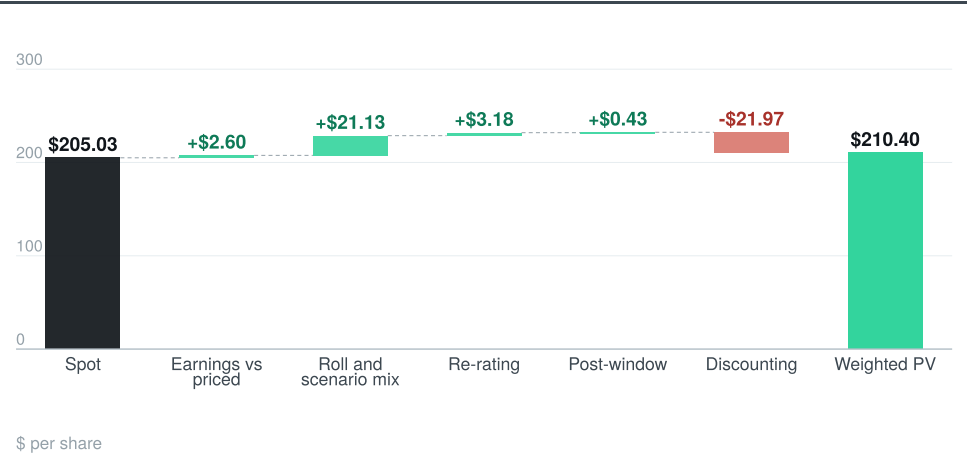
Margin and multiple carry the variance; the catalyst dials are decoration.

EXHIBIT 4 SENSITIVITY DIALS, RANKED BY WEIGHTED-PV SWING



Source: bank S11. Each dial's provenance letter precedes its name; the NWC dial was pre-screened on an exactly-zero base.

EXHIBIT 5 FROM SPOT TO WEIGHTED PV — WHERE THE EDGE COMES FROM



Source: bank S12. Legs sum exactly.

dial_1_to_top_catalyst_p_ratio

9.3x = 21.13/2.27

t25_multiple_thesis_probe

clear on the ~10x threshold with

weight-coupled p dials, but margin and

multiple jointly carry 20% of PV

against 1.6% for both catalyst

probabilities — the S1 true-driver

labeling stands

tornado_pre_screen

NWC dial dropped — dNWC is exactly

\$0 in this build

linked_dials_t42

AI revenue = disclosed pool x

allocation, the allocation is shocked;

EPS = margin x revenue after

interest/tax/shares, margin shocked; p

dials shock build and weights together

VIII

Execution — reduced form

No variant view exists, so the engine computed no setup, no entry, no hedge, no theta.

Setup	none — confirmatory path; 10h requires a variant view
Pinning rule	build \$12.66 is 1.3% above the \$12.50 anchor — inside noise
Menu	10i suppressed — no variant view; no entry, no hedge leg, no exit menu
Event structure	skipped — no setup gate open and no IV/term/skew supplied
Thesis theta	not run — no variant edge to decay
Conviction / sizing	n/a — 10e requires a variant view; 0.50% of NAV stored user-stated; position cap not computed in reduced form

IX

Falsification

Six switches, one added by the materiality fire; what fires, when, and what it costs.

KILL SWITCHES

SWITCH	TEST	CLOCK	STATUS
1 Q4/FY27 anchor miss	Q4 revenue below \$4,988M (>5% vs guide) or adjusted EPS below \$2.81 (>8%)	Late Oct 2026	armed
2 Astrodyne slip	Not closed by 31 Dec 2026	31 Dec 2026	armed
3 Revision reversal	FY2027 consensus falls for two consecutive marks	Baseline set this session: \$21,658M / ~\$12.50 (2026-08-27)	armed at baseline
4 Moat proof downgrade	Adjusted operating margin <21.0% with book-to-bill <1.0x	Each print	armed
5 Regime breach	Sector multiple below the 15.4x compression bracket	Continuous	INOPERABLE — sector multiple series missing
6 True-driver switch (added)	Adjusted operating margin <21.0% in any FY2027 quarter	FY27 prints	armed

kill_switch_fired_now

none

reentry_rule_if_fired

full Steps 2–6 rerun with the miss/slip included; cause reconciled inside the new build; new run must independently land a sizeable setup; first post-kill conviction capped at mid

APPENDIX A

Completion manifest

Every gate, its status, and the arithmetic that produced it.

GATE	STATUS	FIGURES
Double-count	PASS	company 10.8% + 2.1pp = 12.9% vs 11–14% disclosed; Industrial 16% + 4.0pp = 20.0% vs >20%
Materiality dual-read	SPIRIT FIRED	full 2.05% clear; in-window 1.76% below 2.0%
Materiality handling	complete	S1/S13 true driver; bear re-sourced; weights-vs-values caveat; margin switch added
Terminal load	clear	85.8% in-window vs 50%
Anchor rule	anchored	Astrodyne >\$250M sales D; AI \$5.70B - \$5.16B = \$540M pool D
Q1 anchor	PASS	\$5,104.3M / \$2.97; -1.1%/+1.1% vs Q3 actual; +9.3%/+9.3% YoY; catalysts 0.30% of revenue
EPS vs FCF	stated	FCF 3,460 vs NI 3,639; -178, 95.1% conversion; owner earnings 3,287
Buyback reality	PASS	2,250 incl bridge vs 3,000 headroom D; 52.0% of FCF; T10 -8.9% clear
Horizon match	applied	FY26 19,823/11.44 vs 19,850/11.45; FY27 kept separate
T12 guide proximity	FIRED	FY26 gaps -0.14%/-0.09%
EV/equity bridge	PASS	63,940 - 4,580 = 59,360; /289.51 = 205.04
Cross-check band	unavailable at matched horizon	one matched route; trailing routes excluded with growth bridges 12.1/11.9/4.2%
Divergences	none computable	horizon exclusions stated
Moat source	pack-only	3.33, PARTIAL, Widening, Low confidence; network N/A
DR arithmetic	shown, T20 fired	CAPM 10.44% vs fallback 9.30%; PV delta \$2.19
Correlation	applied	+5pp each tail; Industrial power demand
Unmodeled tail	n/a	none below bracketed bear
Tornado pre-screen	one	NWC dial; dNWC exactly \$0
Breakeven noise T38	fired on multiple and EPS	-1.2% distances; growth 1.3pp clear vs 1.1pp
Discrimination	n/a	reduced form
Asymmetry construction	n/a	reduced form; fields explicitly n/a
Conviction caps	n/a	reduced form
10f completeness	extended	adjusted-margin switch added
Inoperable switches	one	sector multiple series; switch 3 armed at baseline
Menu gate	suppressed	confirmatory; no S, beta, entry or exit leaked
Growth basis T39	PASS	12.0% two-year forward revenue CAGR
DR category/sanity T40	PASS	CAPM 10.44% inside 7.5–20%; hurdle table only inverts the multiple
Route-shock T41	two	DR route \$2.19; acquisition funding route \$1.24 (delta 58%)
Linked dials T42	handled	pool x allocation; margin x revenue; p-weights coupling
Anchor identity T47	pass	exit 229.25 vs present-value identity 207.63; roll present
Convert consistency	PASS	debt in ND; 292.0M EPS denominator, 289.51M bridge denominator, both stated
Tax basis T45	n/a	adjusted 22.5%

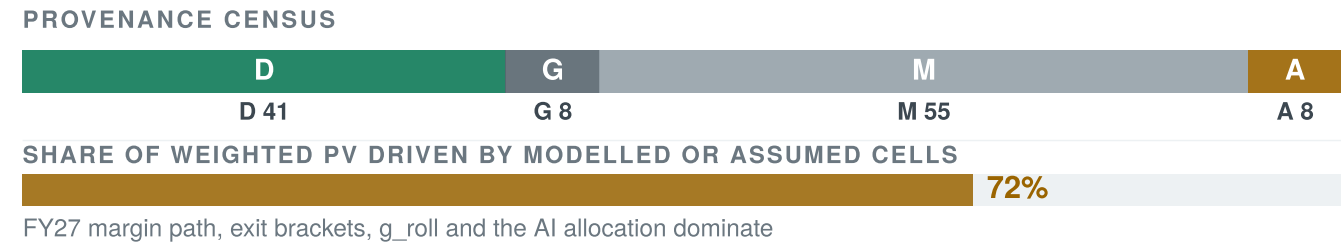
GATE	STATUS	FIGURES
Fade bind T46	n/a	no terminal-load election
Tail symmetry T44	n/a	no mandated tail
Recomputation	confirmed	S1–S13 computed from the 2026-08-27 retrieved pack; no v4.3 figure carried forward

APPENDIX B

Provenance

Who says so: disclosed, guide-derived, modeled, assumed.

EXHIBIT 6 TAG CENSUS AND THE MODELED-OR-ASSUMED SHARE OF WEIGHTED PV



Source: bank SP.

FIRED DEFAULTS (A-CELL REGISTER)

A CELL	FIELD FILLED	EFFECT
ERP 5.0%	CAPM	Primary DR 10.44%
AI allocation corridor 20–50%	T43 midpoint 35%	\$189M full-size catalyst
dNWC 0%	Both catalysts	No working-capital charge; NWC dial pre-screened
Acquisition funding 5.25%	Interest	\$95M NTM net interest; T41 route-shocked vs cash-funded
Other cash 0.5% of revenue	FCF	Small drag
SBC +0.40M/qtr	Share roll	Offsets part of buyback
FY27 seasonality	Base phasing	Q1/Q2 lower, Q4 highest
Options surface not assumed	Event structure	Layer skipped

What would repair it, ranked

- Two dated FY2027 consensus revision marks — fully arms kill switch three and completes the estimate history.
- An independent FY2027 consensus EPS on a stated share count — removes the last anchor-derived comparator.
- Two to four peer forward multiples plus an industrial-sector multiple trend — validates the bracket and arms the regime switch.
- Disclosed AI share of the order surplus and conversion timing — replaces the corridor midpoint.
- Customer retention, design-win duration, share, incremental ROIC — upgrades or rejects the moat Proof gate.
- IV, term and skew — only if a future run lands a dated-event setup.

conviction_cells

n/a — 10e not run (no variant); the FY27 revision series remains the MISSING INPUT; T35 credits none; pack-limited not applicable

t37_check

dial 1 is base adjusted operating margin, provenance G/M; cap not bound

threshold_overrides

T48 added, user-promoted (Faldo)

2026-08-28 — confirmatory-path entrant floor Weak Buy when edge_to_weighted_pv is positive on both DR routes; applied this run (+2.6% primary / +3.7% fallback)

DISCLOSURES

[[DISCLAIMER]]